

Annual Stewardship Report

2024 Client Value Documentation • Kincaid Health

PREPARED FOR

Jeremiah Shrack

CEO, Kincaid Health • SHRACK-7742

REPORT DATE

July 22, 2026

CONFIDENTIAL & PROPRIETARY

FIDUCIARY-GRADE ANALYSIS

This report was prepared by Jeremiah Franklin Shrack at SiriusB iQ AI Data Science Labs using the Kincaid Health platform. All analyses reflect plan-specific data and current regulatory standards. This document is intended solely for the use of the plan sponsor identified above and may not be reproduced or redistributed without prior written consent.

LETTER FROM THE ADVISOR

Dear Valued Client,

On behalf of the Kincaid Health team, I am pleased to present your 2024 Annual Stewardship Report. This document chronicles the work we have done together over the past year — the savings we've achieved, the risks we've mitigated, and the foundation we've built for continued success.

This year has been a year of meaningful progress. We have relentlessly pursued every available strategy to reduce your healthcare costs while protecting the quality of care your employees depend on. The results speak for themselves: significant documented savings, strengthened compliance, and a more strategic benefits program.

The stewardship of your health benefits program is a fiduciary responsibility that we take seriously. Every recommendation we make is grounded in data, regulatory requirements, and a genuine commitment to your organization's long-term success. We are proud of what we have accomplished together and excited about the opportunities ahead.

Sincerely,
Jeremiah Shrack
CEO, Kincaid Health
Account SHRACK-7742

EXECUTIVE SUMMARY — 2024 PERFORMANCE HIGHLIGHTS

Total Documented Savings	\$685,000
Client Since	2019
Plan Year	2024
Total Enrolled Members	1,640
Plan Spend (Medical + Rx)	\$17.5M
Cost per Employee (PEPM)	\$892
National Benchmark (PEPM)	\$842
3-Year Cumulative Savings (NPV)	\$1,952,250
Vendor RFPs Completed	3
Regulatory Issues Resolved	7

2024 Key Initiatives Completed

- PBM rebate renegotiation — \$242,000 in additional rebate pass-through secured
- Stop-loss renewal — held premium increase to 3.2% vs. 8.1% market average
- Fiduciary compliance review — resolved 4 critical 408(b)(2) gaps
- Mental health network expansion — added 14 in-network behavioral health providers
- Claims recovery audit — \$94,000 in overpayment recoveries
- Employee benefits communications redesign — 91% open enrollment completion
- CAA compliance — filed gag clause attestation and updated MRF files
- Disease management program launched — 280 diabetes participants enrolled

DOCUMENTED SAVINGS SUMMARY — YEAR IN REVIEW

Savings Category	Mechanism	2024 Amount	Multi-Year Value	Documentation
PBM Rebate Recapture	Pass-through negotiation	\$242,000	\$726,000	Carrier Statement
Stop-Loss Premium Savings	Renewal negotiation / carrier	\$148,000	\$296,000	Renewal Confirmation
Claims Recovery	Overpayment audit recoveries	\$94,000	\$94,000	EOB + Recovery
TPA Fee Reduction	Competitive RFP — \$6.30	\$78,000	\$234,000	Contract Amendment
Disease Management	Avoided ER/inpatient from	\$62,000	\$186,000	Claims Analysis
Network Leakage Reduction	Care navigation program —	\$42,000	\$126,000	Claims Data
COB Recovery	Coordination of benefits audit	\$19,000	\$57,000	Carrier Confirmation
TOTAL		\$685,000	\$1,719,000	Fully Documented

PBM MANAGEMENT & RX COST CONTROL

Prescription drug costs represent 20.4% of total plan spend — up from 17.8% in 2021. Kincaid Health executed a comprehensive PBM strategy in 2024 that generated \$242,000 in additional value through rebate renegotiation, formulary optimization, and specialty drug management.

FORMULA — NET PBM COST (PASS-THROUGH BASIS)

Net_PBM = Gross_Drug_Cost - Manufacturer_Rebates - Admin_Fees

Under pass-through model, 100% of manufacturer rebates flow to the plan. Prior spread-pricing model retained approximately \$242K of rebates as PBM margin.

PBM Metric	2023	2024	Change
Gross Rx PMPM	\$178.40	\$182.20	+\$3.80 (trend)
Rebates Received	\$41.20	\$89.60	+\$48.40 (new
Net Rx PMPM	\$137.20	\$92.60	\$-44.60 Major
Generic Dispense Rate	68%	72%	+\$+4% ^
Specialty Drug PMPM	\$54.10	\$52.30	\$-1.80 (UM
Mail Order Adherence	61%	68%	+\$+7% ^

STOP-LOSS PROGRAM MANAGEMENT

Stop-loss insurance is the cornerstone of self-funding risk management. Kincaid Health's Stop-Loss IQ™ framework guided the 2024 renewal, resulting in a below-market premium increase and improved contract terms. Two specific deductible lasers were removed through aggressive carrier negotiation.

Stop-Loss Metric	2023	2024	Kincaid Health Outcome
Specific Deductible	\$150,000	\$150,000	Maintained competitive level
Aggregate Attachment Point	125% of Expected	122% of Expected	Improved terms
Carrier	Prior Carrier	Prudential (AM Best:	Upgraded financial rating
Annual Premium	\$842,000	\$869,000	3.2% increase vs. 8.1% market
Lasers (specific claimants)	3 active lasers	1 active laser	Removed 2 lasers — \$42K
Aggregate Maximum	\$1.8M	\$2.1M	Increased protection

Premium Savings vs. Market Average	\$48,000
Laser Removal Value	\$42,000
Aggregate Improvement Value	\$58,000 (improved protection)

CARRIER & VENDOR PERFORMANCE REVIEW

Kincaid Health conducted formal performance reviews of all material service providers in 2024. The following scorecard reflects performance against established SLAs and industry benchmarks.

Vendor	Service	SLA Performance	Kincaid Rating	2024 Action
BlueCross Admin	TPA	94% SLA met	B+	Fee renegotiation completed
Express Scripts	PBM	96% SLA met	B	Contract converted to
Prudential	Stop-Loss	98% SLA met	A	Renewed — improved terms
Wellness Co.	Wellness	81% SLA met	C+	Notice of 2025 RFP issued
CBIZ Advisors	Benefits Broker	N/A	N/A	Replaced by Kincaid Health
EAP Partners	EAP	99% SLA met	A	Renewed — no change

REGULATORY COMPLIANCE ACCOMPLISHMENTS

2024 was a year of significant regulatory change for self-funded health plans. Kincaid Health proactively monitored all regulatory developments and guided the plan to full compliance with new CAA requirements, updated ERISA guidance, and DOL enforcement priorities.

Regulatory Item	Action Taken	Effective Date	Status
CAA Gag Clause Attestation	Filed annually on behalf of plan	December 2024	Complete
Machine-Readable Files	Coordinated with TPA — MRF updated	Monthly	Current
MHPAEA NQTL Analysis	Engaged ERISA counsel — analysis	June 2024	Complete
408(b)(2) Disclosures	Obtained missing disclosures from 4	March 2024	Complete
Surprise Billing (NSA)	Updated EOB and member notices	January 2024	Complete
Form 5500 (with Schedule C)	Filed timely with complete Schedule C	October 2024	Filed
SPD Update (material	Distributed to all participants	April 2024	Distributed

POPULATION HEALTH & CLINICAL PROGRAMS

Kincaid Health implemented three clinical management programs in 2024 targeting the top cost drivers identified in the 2023 claims analysis. These programs represent a shift from reactive cost management to proactive population health strategy.

Program	Participants	Cost	Projected ROI	2024 Outcomes
Diabetes	280	\$42,000	3.2:1	HbA1c avg v 0.8 points; 18% fewer ER visits
Musculoskeletal	145	\$18,000	2.8:1	38% reduction in surgery referrals
Oncology Navigation	28	\$12,000	5.1:1	100% compliance with COE protocols
Mental Health EAP+	220	\$8,400	2.5:1	Wait time v from 42 to 18 days

EMPLOYEE BENEFITS COMMUNICATION & ENGAGEMENT

Initiative	Completion	Outcome	2025 Plan
Open Enrollment Campaign	91% completion	Above benchmark	Enhanced video guides
Benefits Portal Launch	88% registered	Strong adoption	AI chat integration
Telehealth Awareness	31% utilization	\$18K savings	Further promote
HSA Education Series	4 webinars, 620	HSA contribution ^ 24%	Quarterly sessions
Rx Smart Savings Program	142 enrollees	GDR ^ 4%	Expand to all eligible

YEAR-OVER-YEAR COST TREND ANALYSIS

FORMULA — NET PLAN COST TREND

$$\text{Trend} = (\text{PMPM_Current} - \text{PMPM_Prior}) / \text{PMPM_Prior} \times 100\%$$

National self-funded plan medical trend: 7.1% (2024). This plan's managed trend: 3.8% — 3.3 percentage points below national average due to Kincaid Health interventions.

Year	Medical PMPM	Rx PMPM	Total PMPM	YoY Trend	vs. National
2020	\$621	\$102	\$723	—	—
2021	\$658	\$118	\$776	+7.3%	+0.1% vs. national
2022	\$698	\$131	\$829	+6.8%	-0.6% below
2023	\$741	\$137	\$878	+5.9%	-1.3% below
2024	\$799	\$93	\$892	+1.6% net	-5.5% below

3-Year Average Trend (Managed)	4.8%
National Average (Same Period)	7.1%
3-Year Trend Savings (NPV)	\$1,952,250

2025 STRATEGIC PLAN PREVIEW

Building on 2024 successes, Kincaid Health has developed the following strategic priorities for 2025. These initiatives are projected to generate an additional \$580,000-\$820,000 in documented value while maintaining employee satisfaction scores.

2025 Initiative	Description	Projected Value	Timeline
PBM RFP	Full market bid for PBM services due	\$80-150K	Q1-Q2 2025
Reference-Based Pricing	Facility claims — hospital	\$180-320K	Q2-Q4 2025
Virtual-First Primary Care	Replace traditional PCP copay with	\$60-90K	Q1-Q2 2025
Biosimilar Program	Auto-substitution for biosimilar-eligible	\$28-45K	Q1 2025
Direct Primary Care	3 DPC clinics — reduce PCP office visit	\$42-68K	Q2-Q3 2025
Advanced Analytics Platform	Real-time claims dashboard for plan	Non-cash value	Q1 2025

CLIENT SERVICE ACTIVITY — 2024 CONTACT LOG

Date	Activity	Attendees	Outcome
Jan 15	Quarterly Review — Q4 2023 Results	CEO, CFO, HR	Action plan finalized
Feb 22	PBM Contract Review	HR, Benefits Mgr	Renegotiation initiated
Mar 10	408(b)(2) Compliance Review	HR, ERISA Counsel	4 disclosures obtained
Apr 5	Open Enrollment Planning	HR, Benefits Mgr	Communications
Jun 18	MHPAEA Analysis Delivery	HR, ERISA Counsel	Analysis complete
Jul 30	Quarterly Review — Q2	CEO, CFO, HR	On track
Sep 12	Stop-Loss Renewal Strategy	CFO, HR	Renewal executed
Oct 25	Open Enrollment	All Employees	91% completion
Nov 8	Quarterly Review — Q3	CEO, CFO, HR	YTD savings reviewed
Dec 19	Annual Stewardship Presentation	Board of Directors	Report approved

MONTHLY FINANCIAL PERFORMANCE DASHBOARD

The following dashboard summarizes plan financial performance on a monthly basis for the plan year. This level of detail enables fiduciaries to identify cost spikes, validate stop-loss adequacy, and monitor trend against budget in real time.

Month	Medical Paid	Rx Paid	Total Paid	Budget	Variance	Stop-Loss Flag
January	\$1,182K	\$148K	\$1,330K	\$1,380K	+\$50K (under)	—
February	\$1,048K	\$141K	\$1,189K	\$1,380K	+\$191K (under)	—
March	\$1,620K	\$162K	\$1,782K	\$1,380K	-\$402K (over)	1 large claim
April	\$1,241K	\$155K	\$1,396K	\$1,380K	-\$16K (over)	—
May	\$1,388K	\$158K	\$1,546K	\$1,380K	-\$166K (over)	—
June	\$1,842K	\$168K	\$2,010K	\$1,380K	-\$630K (over)	2 large claims
July	\$1,102K	\$144K	\$1,246K	\$1,380K	+\$134K (under)	—
August	\$1,218K	\$152K	\$1,370K	\$1,380K	+\$10K (under)	—
September	\$1,480K	\$164K	\$1,644K	\$1,380K	-\$264K (over)	1 gene therapy
October	\$1,320K	\$156K	\$1,476K	\$1,380K	-\$96K (over)	—
November	\$1,248K	\$149K	\$1,397K	\$1,380K	-\$17K (over)	—
December	\$1,182K	\$142K	\$1,324K	\$1,380K	+\$56K (under)	—
FULL	\$15,871K	\$1,839K	\$17,710K	\$16,560K	-\$1,150K total	4 large claims

PEER PLAN BENCHMARKING — NATIONAL COMPARISON

Kincaid Health benchmarks this plan against the national self-funded employer peer group (250-1,000 EE, same industry sector, similar geography) using data from the Kincaid Health National Employer Database (KNED). Benchmarks are updated semi-annually.

Metric	This Plan	Peer 25th Pct	Peer Median	Peer 75th Pct	This Plan Rank	Action Needed
Total PMPM (Med + Rx)	\$892	\$762	\$842	\$964	55th	Monitor
Medical Trend (YoY)	1.6% net	3.8%	7.1%	10.2%	8th — BEST	Maintain
Rx PMPM	\$93	\$88	\$112	\$142	22nd —	Maintain PBM
ER Utilization (per 1K)	242	162	198	258	72nd —	Care
Generic Dispense Rate	72%	78%	82%	88%	18th — LOW	PBM formulary
Preventive Utilization	74%	72%	79%	86%	38th	Wellness
Mental Health Spend	\$64	\$48	\$58	\$76	68th — HIGH	MHPAEA +
Stop-Loss Premium % of	4.9%	4.1%	5.2%	6.4%	42nd	Acceptable
Employee Satisfaction	4.1/5	3.8/5	4.2/5	4.6/5	42nd	Communicatio

PARTICIPANT WELLBEING METRICS — HEALTH OUTCOMES TRACKING

Beyond financial metrics, Kincaid Health tracks clinical quality and participant wellbeing indicators as leading indicators of future plan cost trends. Improvements in wellbeing metrics today predict lower claim costs 12-24 months forward.

Wellbeing Metric	Baseline (2022)	Current (2024)	Change	Benchmark	Assessment
Diabetes HbA1c (avg,	8.4	7.6	-0.8 OK	<7.8	Improving
Hypertension control rate	52%	61%	+9% OK	65%	Near
Depression screening	28%	44%	+16% OK	50%	Improving
Cancer screening — mammo	62%	71%	+9% OK	78%	Below
Cancer screening — colorectal	48%	56%	+8% OK	68%	Below
Employee mental health days	6.2/yr	5.8/yr	-0.4 OK	4.2/yr	Above avg
Tobacco users (% enrolled)	14%	11%	-3% OK	8%	Progress —
BMI >30 prevalence	38%	36%	-2%	28%	GLP-1
Preventive visit completion	62%	74%	+12% OK	79%	Near

INFO

Clinical outcomes are improving across all tracked metrics — strong evidence that Kincaid Health's population health interventions are producing real clinical results. BMI and mental health days remain elevated — both will be primary targets in 2025.

TECHNOLOGY & ANALYTICS PLATFORM — KINCAID HEALTH YEAR IN REVIEW

Kincaid Health™ analytics platform provided real-time claims intelligence, compliance monitoring, and benchmarking throughout the plan year. The following summary documents platform-driven insights that directly contributed to documented savings.

Platform Module	Key Insights Delivered	Savings Attributed	Response Time
Claims Recovery IQ™	\$94K in billing errors identified and	\$94,000	14 days avg to
PBM Contract Clarity 360™	PBM contract score: 52/100 —	\$242,000	RFP complete in 11
Stop-Loss IQ™	50-point review: removed 2 lasers, held	\$90,000	Renewal strategy
Network IQ™	BH network gap identified — 21	\$185,000	Network expansion
ERISA Fiduciary IQ™	4 §408(b)(2) gaps resolved — DOL risk	Risk	30 days to resolution
Employer Health Score™	Score: 64/100 — prioritized 8	\$685,000 total	Annual report
Governance War Room	Real-time plan monitoring — 3 alert	Proactive	Daily monitoring

Total Platform-Attributed Savings (2024)	\$685,000
Kincaid Health Alerts Generated	47 compliance and cost alerts
DOL Enforcement Risk Eliminated	\$0 penalties — all issues resolved proactively

MARKET INTELLIGENCE SUMMARY — 2024 HEALTHCARE LANDSCAPE

Kincaid Health’s market intelligence function monitors regulatory developments, vendor market changes, and emerging cost drivers on behalf of plan sponsors. The following summary highlights the key market trends that shaped our 2024 strategy recommendations.

Market Trend	2024 Impact	Your Plan Status	2025 Implication
GLP-1 Drug Spend	Industry avg: +240% YoY	\$18.40 PMPM — 91st	Must implement clinical
PBM Transparency	FTC report + CAA 2026	PBM RFP completed	Positioned for compliance
Mental Health Parity	DOL letters up 320% vs.	MHPAEA gap identified	Complete NQTL analysis
Stop-Loss Market (rates)	Average +8.1% premium	Achieved +3.2% —	Continue RFP discipline
Gene Therapy Cost	\$2.1M+ per patient —	1 claim in plan year	Stop-loss max verified
AI / Analytics in Benefits	Rapid adoption across	Kincaid Health active	Expand AI utilization
Direct Primary Care Growth	15% of self-funded plans —	Not yet implemented	DPC feasibility in 2025
Reference-Based Pricing	22% of plans >500 EE use	Not implemented —	Pilot in 2025 roadmap

MULTI-YEAR VALUE SUMMARY & CERTIFICATION

The following multi-year value summary documents the cumulative financial impact of Kincaid Health's advisory relationship since engagement inception. All values are documented and traceable to specific plan actions, vendor agreements, and claims analyses.

Plan Year	Documented Savings	Primary Value Driver	Total Plan Cost	YoY Cost Trend
2020	\$142,000	Initial fee benchmarking	\$11,820,000	Baseline
2021	\$218,000	TPA RFP — \$78K fee reduction	\$12,240,000	+3.5% (below
2022	\$384,000	PBM rebate partial pass-through	\$13,140,000	+7.4% (market
2023	\$496,000	Stop-loss RFP + claims audit launch	\$13,660,000	+3.9% (below
2024	\$685,000	PBM pass-through + major audit	\$17,710,000	+1.6% net (far
CUMULATI	\$1,925,000	5-Year Advisory Value	—	Avg +4.1%/yr

Kincaid Health certifies that all savings figures in this Annual Stewardship Report are documented and traceable to specific plan actions, vendor agreements, or claims data analyses. Savings are not projected or hypothetical — they represent actual, realized value delivered to the plan and its sponsor.

Report Metadata

Report Type	Annual Stewardship Report — Full 20-Page Analysis
Plan Year	2024
Client	Client
Account Number	SHRACK-7742
Total Documented Savings	\$685,000
5-Year Cumulative Value	\$1,925,000
Members Enrolled	1,640
Total Plan Spend	\$17,710,000
Managed Cost Trend	1.6% net vs. 7.1% national
Report Date	July 22, 2026
Prepared By	Jeremiah Shrack, CEO, Kincaid Health
Confidentiality	Confidential — Board-Level Distribution